

Multiple Choice (10 marks)

1. Which of the following is a characteristic of monopolistic competition in the long run?
 - (a) Excess profits due to lack of competition.
 - (b) Firms produce identical products.
 - (c) High degree of interdependence among firms.
 - (d) Zero economic profits.
 - (e) Large number of buyers and one seller.
2. How can business expectations affect the economy?
 - (a) Business expectations can affect the economy by affecting the level of investment.
 - (b) Business expectations mold the economy through fluctuations in commodity prices.
 - (c) Business expectations have no impact on the economy.
 - (d) Business expectations steer the economy by directly setting interest rates.
 - (e) Business expectations influence the economy through government policy changes.
3. Which of the following is most likely to result in a shift to the right in the demand curve for orange juice?
 - (a) A decrease in the price of orange juice
 - (b) A decrease in the price of Tang
 - (c) An increase in the price of grapefruit juice
 - (d) A decrease in the income of juice drinkers
 - (e) A bumper crop of oranges in Florida
4. The aggregate demand curve has a negative slope in part because when the price level increases
 - (a) the real quantity of money increases
 - (b) imports become relatively more expensive
 - (c) the value of cash increases
 - (d) exports become relatively cheaper
 - (e) inflation rate decreases
5. According to Marshall and Fisher, what are the components of the demand for money?
 - (a) Investment and Consumption
 - (b) Transactions Demand and Asset Demand

- (c) Income and Expenditure
- (d) Savings and Interest Rates
- (e) Credit and Debit

True / False (10 marks)

Answer True or False

6. True or False: A price ceiling always results in a surplus of the good in the market due to reduced supply.
7. True or False: An increase in the price of polyester pants causes the supply of denim jeans to fall, leading to a decrease in both price and quantity.
8. True or False: Investment demand tends to increase when the stock market experiences a downturn, as investors look for safer opportunities.
9. True or False: Structural unemployment is primarily caused by fluctuations in the business cycle, rather than technological changes or industry shifts.
10. True or False: The circular flow model of pure capitalism includes all types of consumer transactions, including those between consumers.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how anticipated inflation benefits specific institutions and individuals, analyzing the mechanisms through which they gain advantages in an inflationary environment.
12. Discuss the differences between logit and probit models in terms of their methods for transforming probabilities. How do these differences impact their application in economic analysis?

End of Paper